

Bank of Leeds Strategic Investment Proposal

York Boutique Retail Renaissance Fund 2040

Transforming York into Yorkshire's Premium Shopping Capital

Prepared for:

Bank of Leeds – Commercial Property & Regional Development Division

Investment Classification:

Urban Regeneration / Luxury Retail / Tourism Economy / Commercial Property

Proposed Investment Vehicle:

York Boutique Retail Investment Fund

Initial Capital Commitment:

£750 million

Investment Horizon:

15 years

Executive Summary

The Bank of Leeds proposes the creation of a **York Boutique Retail Renaissance Programme** to transform York city centre into the premier luxury and independent retail destination of Northern England.

The vision:

"Make York the Florence of Yorkshire — a historic city where heritage architecture, luxury retail, artisan manufacturing and tourism combine into a world-class shopping experience."

York already possesses the foundations:

- internationally recognised heritage,
- millions of visitors,
- affluent surrounding communities,
- excellent rail connectivity,
- strong hospitality sector.

York's visitor economy generated approximately **£2.01 billion in economic impact in 2024**, with retail accounting for around **34% of visitor spending**.

The Bank of Leeds opportunity is to capture more of this spending by repositioning York from:

Current model:

"A historic city people visit for attractions."

into:

Future model:

"A premium retail destination where visitors spend an entire day shopping, dining and experiencing Yorkshire brands."

York's own city centre strategy identifies retail, tourism, heritage and thriving businesses as core priorities, including improving shopping areas and making tourism generate greater benefits.

Strategic Vision

York: The Luxury Heritage Retail City

Comparable destinations:

- Bath
 - Edinburgh
 - Oxford
 - Cambridge
 - Bruges
 - Florence
-

The investment would create:

The York Retail Quarter

A connected network of:

- boutique shops,
 - luxury hotels,
 - artisan food halls,
 - galleries,
 - designer workshops,
 - Yorkshire brands.
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Investment Summary

Total Programme

£750 million

Investment Area	Capital
Commercial property acquisition	£250m
Boutique retail developments	£150m
Public realm improvements	£100m
Luxury hospitality	£100m
Yorkshire brand incubation	£75m
Marketing campaign	£50m
Digital retail platform	£25m

1. Commercial Property Acquisition Strategy

Investment:

£250 million

The Bank of Leeds would create:

York Retail Property Company

Purpose:

Acquire underperforming:

- shops,
 - historic buildings,
 - vacant commercial properties.
-

Instead of passive landlords:

The Bank becomes an active city-centre investor.

Target Areas

Stonegate

Position as:

"York's Bond Street"

Shambles Quarter

Develop:

- luxury food,
 - artisan crafts,
 - heritage brands.
-

Coney Street

Transform into:

premium retail boulevard.

Parliament Street

Create:

flagship destination shopping.

Property Model

Acquire:

100 commercial units

Average purchase:

£2.5m

Total:

£250m

Renovation:

£500,000 average

Additional:

£50m

Total property programme:

£300m

2. York Boutique Retail Accelerator

Investment:

£150 million

Create:

Made in Yorkshire Retail District

Purpose:

Support independent brands.

Retail categories:

Luxury Food

- chocolate
 - cheese
 - gin
 - whisky
 - confectionery
-

Yorkshire Fashion

- tailoring
 - wool
 - textiles
-

Craft

- ceramics
 - jewellery
 - furniture
-

Heritage Products

- books
 - antiques
 - historic crafts
-

Business Model

The Bank provides:

- low-cost leases,
 - startup funding,
 - shop fit-outs,
 - marketing.
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Target:

250 new boutique businesses.

3. York Luxury Hospitality Expansion

Investment:

£100 million

Retail destinations require overnight spending.

Develop:

Boutique Hotel Network

5–8 properties.

Concept:

"Yorkshire Luxury"

Features:

- Georgian interiors,
 - local food,
 - spa facilities,
 - concierge shopping.
-

Revenue:

250 rooms

Average nightly rate:

£250

Occupancy:

75%

Annual revenue:

≈£17m

4. York Shopping Experience District

Investment:

£100 million

The modern luxury shopper wants experience.

Develop:

York Retail Passport

A digital visitor system.

Includes:

- discounts,

- events,
 - reservations,
 - dining.
-

Create:

York Shopping Week

Annual event.

Attract:

- London shoppers,
 - overseas visitors,
 - Yorkshire residents.
-

Target:

500,000 additional shopping visits annually.

5. Yorkshire Brand Development Fund

Investment:

£75 million

Create:

Yorkshire Luxury Brands Fund

Invest in:

- food,
 - fashion,
 - crafts,
 - lifestyle.
-

Potential brands:

- Yorkshire chocolate

- Yorkshire gin
 - Yorkshire leather
 - Yorkshire textiles
 - Yorkshire homeware
-

Objective:

Create:

"Yorkshire equivalents of Burberry, Fortnum & Mason, and Harrods food halls."

6. Transport & Regional Shopping Strategy

The Yorkshire Shopper Network

York should become the retail capital for:

- Leeds
 - Sheffield
 - Harrogate
 - Hull
 - Scarborough
 - North Yorkshire
-

Potential improvements:

Rail Marketing

Weekend shopping trains:

- Leeds → York
 - Sheffield → York
 - Hull → York
-

Luxury Day Trips

Packages:

Train + hotel + shopping + dining.

Financial Model

York Boutique Retail Corporation

Year 1–5

Investment phase.

Revenue:

£50m/year

Year 5

Retail occupancy:

90%

Revenue:

£150m

EBITDA:

£40m

Year 10

Revenue:

£350m

EBITDA:

£100m

Year 15

Revenue:

£600m

EBITDA:

£180m

Investment Returns

Bank of Leeds Position

Investment:

£750m

Asset base:

- commercial property,
 - hotels,
 - retail companies.
-

Potential valuation:

Assume:

12x EBITDA

Year 15 EBITDA:

£180m

Enterprise value:

£2.1 billion

Potential return:

Approximately:

2.5–3x capital appreciation

Economic Impact

Retail Jobs

New businesses:

250

Employment:

3,000 jobs

Hospitality

Hotels/restaurants:

2,000 jobs

Construction

Regeneration:

10,000 job-years

Total employment impact:

15,000+ jobs

GDP Impact

Additional annual economic activity:

£500m–£1bn

Driven by:

- retail spending,
 - tourism,
 - property investment,
 - food production,
 - events.
-

Strategic Benefits

1. Keeps Yorkshire Wealth in Yorkshire

Currently many premium shopping trips flow to:

- London,
- Manchester,
- online retailers.

York can capture this spending locally.

2. Strengthens Tourism

Visitors stay longer.

Current:

half-day visitor

Future:

2–3 day luxury visitor.

3. Supports Yorkshire Producers

A York retail district becomes the marketplace for:

- Yorkshire farms,
 - distilleries,
 - manufacturers,
 - craftspeople.
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Financing Structure

Bank of Leeds York Retail Renaissance Bond

£500 million initial issuance

Investors:

- pension funds,
 - insurers,
 - family offices,
 - regional investors.
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Security:

- commercial property assets,
 - rental income,
 - development profits.
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Delivery Plan

Phase 1 (2026–2030)

Investment:

£250m

Focus:

- acquire property,
 - renovate streets,
 - launch boutique incubator.
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Phase 2 (2030–2035)

Investment:

£300m

Focus:

- hotels,
 - retail districts,
 - Yorkshire brands.
-

Phase 3 (2035–2040)

Investment:

£200m

Focus:

- international marketing,
 - expansion.
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Final Recommendation

The Bank of Leeds should establish:

York Boutique Retail Renaissance Corporation

with:

£750 million investment capacity

to transform York into:

- Yorkshire's luxury shopping capital,
 - Britain's heritage retail destination,
 - a global showcase for Yorkshire products.
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Final Investment Thesis

York has something few cities can manufacture:

authenticity.

Its medieval streets, historic buildings and tourism economy provide the foundations for a premium retail city.

The opportunity is not to turn York into another shopping centre.

It is to create:

"A living luxury marketplace where Yorkshire heritage becomes a global retail brand."

A Bank of Leeds-backed regeneration programme could make York the premier boutique shopping destination of Northern England while creating hundreds of businesses and billions in regional economic value.